T5	Cash Management and Control	**Chapter 7 & 11:** First hour activity: DQ 7.2, DQ 11.1, DQ 11.5, DQ 11.7, Ex 11.3, Ex 11.7 Second hour activity: P 11.21, Ex 11.10 **Worksheets/templates available on Moodle site.**
T5	Receivables	**Chapter 12:** First hour activity: DQ 12.2, DQ 12.7, DQ 12.8, Ex 12.1, Ex 12.2 Second hour activity: Ex 12.3, P 12.11 **Worksheets/templates available on Moodle site.**
T5	Non-current assets: acquisition and depreciation	**Chapter 14:** First hour activity: DQ 14.4, DQ 14.6, Ex 14.1, Ex 14.2, Ex 14.4 Second hour activity: Ex 14.9, P 14.12 **Worksheets/templates available on Moodle site.**

DQ7.2 What is an internal control system? Discuss the principles involved in establishing a good internal control system. Discuss also the limitations of internal control systems.

A system of internal control consists of all the measures used by a business:
- to safeguard its resources against waste, fraud and inefficiency
- to promote the reliability of accounting data
- to encourage compliance with business policies and government regulations.

Two aspects to internal control:
(1) administrative controls and
(2) accounting controls.

Administrative controls are those established to provide operational efficiency and adherence to prescribed policies, such as a written directive identifying the standards to be followed in hiring new employees, manuals identifying purchasing and sales procedures, and various performance reports required from employees.

Accounting controls are the methods and procedures used to protect assets and ensure the reliability of accounting records, such as procedures for the authorisation of transactions and the separation of record-keeping duties from custodianship of the entity's assets.

Principles of internal control which should be discussed are:
- Clearly established lines of responsibility.
- Separation of record keeping and custodianship.
- Division of responsibility for related transactions.
- Mechanical and electronic devices.
- Adequate insurance.
- Internal auditing.
- Programming, physical and other controls.

DQ11. Explain why it is important to manage cash flows. Suggest methods a business can use to manage its cash flows.

- It is important to manage cash flows to ensure that the business always has enough cash to pay creditors.
- Even when a business is making a profit it may be possible to run short of cash so cash flow needs to be managed separately from measurement of profit.
- To manage cash flow a business needs to continually monitor cash inflow and outflow.
- A business needs to smooth cash flows so that if they are predicting large cash outflows for a given period then they need to plan to have adequate cash in reserve to meet those needs.
- Keeping a detailed record of monitoring of cash flow will make it more straight forward to get extra needed cash from the bank.

DQ1.5 Mark has done the accounts for his local basketball club for a number of years. You joined the club in the last year and as you have studied some accounting Mark has asked you to help him with the accounts. You note that when doing a bank reconciliation Mark changes the accounts of the basketball club so that they show the same month-end cash balance as the bank statement, even though there are outstanding deposits and cheques. Mark believes this approach is best as the bank must be correct so he needs to agree with its balance. Explain to Mark why the basketball club's cash balance may be different from the bank statement and yet be the correct balance.

The bank can only record transactions that affect the club's bank account of which it is aware. This means that if the club has received cash but has not yet deposited it the club's cash position has increased but the bank is not yet aware of this so will not show it on the bank statement. Similarly, if the club has written a cheque and the recipient hasn't yet banked it then the club's cash position has reduced but the bank is not yet aware of this and so hasn't recorded the decrease. As the club's accounts should reflect the actual cash position, even if the bank is not aware of all transactions, the bank reconciliation should be reconciled to the club's month end cash balance and not the amount on the bank statement. For this reason Mark should begin with the bank statement balance and then add any outstanding deposits and deduct any unpresented cheques to reconcile with the club's cash at bank account balance.

DQ1.7 A manager of a small online business believes that because most of the transactions take place using electronic transfer of funds rather than cash or cheques, the business no longer needs to do a bank reconciliation each month. Explain to the manager why a bank reconciliation is still necessary for the business.

A bank reconciliation is still necessary for control purposes. There may still be some transactions that occur using cash and cheques and so there may be outstanding deposits and cheques at the end of the period.

Even with electronic transfers these are often processed overnight on computer systems and transactions can appear on bank statements a day after they actually occurred.

The manager also needs to check that the business's accounts are correct and have included all of the transactions that have been processed electronically by the bank. Automatic payments, fees and transfers into the account by customers all need to be checked to make sure they have been recorded in the accounting system of the business.

It is not uncommon to find errors in items being processed through bank accounts. Interest may be charged when it shouldn't be or human error may lead to amounts going into the wrong accounts. Sometimes transactions are processed more than once.

Exercise 11.3

Cash internal control procedures

Explain briefly the significance of each of the following in a comprehensive system of control over cash transactions:
1. the segregation of cashier's duties from other functions
2. the daily banking principle
3. the bank reconciliation statement
4. the imprest system of petty cash
5. cash budgets
6. statements of cash flows.
(LO2)

1. With the segregation of cashier's duties from other functions, the cashier should not have access to the accounting records (other than cash journals). By segregating the duties of the cashier, any fraud will remain undetected only if the cashier colludes with other members of staff. This will reduce the possibility of the cashier misappropriating funds and covering this up by altering the accounting records without being found out.

2. The daily banking principle means that all cash received must be banked daily intact**.** This will reduce the possibility of cash being misappropriated, as all the cash received is collected and banked in its entirety. Periodic checks are now possible, to ascertain that the cash banked (per bank deposit slip) agrees with the relevant source documents (receipts etc.) and other records.

3. The cash at bank account is balanced at various intervals (usually monthly). To ascertain that this balance actually represents the entity's cash balance at the bank or the amount owed to the bank, it has to agree with the amount shown on the bank statement at that date. The bank reconciliation links and confirms the cash records with a reliable outside authority – the bank statement. If there are differences in the two records, the bank reconciliation will identify them, and records can be adjusted to take them into account.

4. Under the imprest system of petty cash, management allocates a certain 'float' or 'retainer' of cash to be used for petty expenses. This 'float' must be maintained from period to period until management revises it and allocates an increase in cash funds for petty expenses.

The petty cashier uses the funds to meet petty expenses. When the fund is running low, the petty cashier is reimbursed the exact amount that was spent during the period bringing the 'float' back to the original amount.

This system allows management to control the maximum amount that can be spent on minor expenses. The imprest system of petty cash supplements the control obtained by the general rule of banking all cash received intact and making all payments by cheque.

Where it is impractical to write out cheques for payments, the payments should be covered by a petty cash voucher (docket) and the control ensured by the use of a fixed 'float'.

5. Cash budgets identify future cash inflows and outflows of the entity. By identifying the future expected cash flows management is better able to control and manage the entity's cash resources; for example, being able to meet ongoing commitments to creditors when they fall due. By identifying large expected cash outlays, management can plan for the payment of such expenditures through increasing cash inflows or by borrowing. Not being able to pay debts as they become due can have dire consequences for an entity — even lead to its demise.

7. A cash flow statement sets out the actual cash inflows and cash outflows of the entity over a period of time. The cash flows are classified in cash flows from operations, cash flows from investing activities, and cash flows related to financing. The statement sets out all the cash activities over the period of the statement, and shows the capacity of the entity to generate cash flows from its operating activities, its sources of long term funds (e.g. long term borrowings, equity raisings), and its long term investments on plant, property and equipment, and other outside investments. This information can lead to conclusions about the entity's short term liquidity and solvency, and longer term financial stability.

Exercise 11.7

Bank reconciliation

Sandy Lee, the owner of Sandy's Sandwiches, wants a bank reconciliation statement to be prepared for the month ended 31 March 2025 using the following information:

1. **Final balance in the Cash at Bank account in the ledger of Sandy's Sandwiches (after all entries arising from the bank statement had been entered) was $13 204.26 Dr.**
2. **Balance shown by the bank statement at 31 March was $13 155.10 Cr.**
3. **Cheques recorded in the cash payments journal but not presented to the bank for payment were as follows.**

Cheque no.	41	$339.50
	43	262.64
	46	423.90
	51	195.10

4. **A deposit of $1270.30 appears as a deposit in the cash receipts journal but had not been recorded by the bank at the date of the statement.**

Required
(a) Prepare the bank reconciliation statement at 31 March, 2025.
(LO3)

(a)

SANDY'S SANDWICHES
Bank Reconciliation Statement
as at 31 March 2025

Balance as per bank statement Cr		$13 155.10
Add: Deposit not credited		1 270.30
		14 425.40
Less: Cheques not presented		
Cheque No. 41	$339.50	
Cheque No. 43	262.64	
Cheque No. 46	423.90	
Cheque No. 51	195.10	1 221.14
Cash at Bank balance Dr		$13 204.26

Exercise 12.1 - Bad debts — direct write-off and allowance methods

Non-GST version

Gnarly Nails Ltd sells manicure sets, nail polish and hand lotions. All sales are conducted on a credit basis. The business does not allow cash discounts for prompt payment. Ignore GST. The following information was extracted from the accounting records at 30 June 2023.

Sales	$ 220,800
Sales Returns and allowances	15,160
Cash Collected	185,075
Accounts Receivable (1 July 2022)	28,500
Debts to be written off	1,609

Required:

(b) Assume that Gnarly Nails uses the direct write-off method of accounting for bad debts.

- **i. Show the general journal entry required to write-off the bad debts.**
- **ii. What amount would be shown for bad debts expense in the statement of profit or loss at 30 June 2023?**
- **iii. What amount would be shown for accounts receivable in the statement of financial position at 30 June 2023?**

(c) Assume that Gnarly Nails the allowance method of accounting for bad debts and the Allowance for Doubtful Debts account had a credit balance of $900 at 1 July 2022. Also assume that an allowance of 2% of net credit sales is required at 30 June 2023.

- **i. Show the general journal entries required to write off the bad debts and bring in the required allowance for doubtful debts.**
- **ii. What amount would be shown for bad debts expense in the statement of profit or loss at 30 June 2023?**
- **iii. What amount would be shown for accounts receivable in the statement of financial position at 30 June 2023?**

(LO3)

Suggested Solution:

(a)

i. Bad Debts Expense $1 609

Accounts Receivable – xxx $1 609

(Bad debts written off using direct write-off method)

ii. Bad Debts Expense $1 609 – Statement of Profit or Loss

iii. Accounts Receivable at 30 June 2023 – Statement of financial position - Current Asset $47 456

Workings:

A/C Rec Op Bal	$28 500
add Net Sales ($220 800 – 15 160)	205 640
less Cash Collected	185 075
less bad debts written off	1 609
A/C Receivable at end	$47 456

(b)

i. Allowance for Doubtful Debts $1 609

Accounts Receivable – xxx $1 609

(Bad debts written off using allowance method)

Bad Debts Expense 4 113

Allowance for Doubtful Debts 4 113

(Bad debts provided for 2% of net credit sales)

($220 800 – 15 160) x 0.02 = $4 112.80 or $4 113

ii. Bad Debts Expense $4 113 – Statement of Profit or Loss

iii.

Accounts Receivable*	47 456
Less Allowance for Doubtful Debts**	3 904
	$43 552

*Accounts Receivable (30 June 2023)

Op Bal + Net Sales – Cash Collected – Debts Written Off $47 456

$28 500 + ($220 800 – $15 160) – ($185 075) – ($1 609) = $47 456

**Deduct Allowance for Doubtful Debts

Op. bal. – Bad Debt Write Off + Bad Debts Expense ($900 - $1 609 + 4 113) = 3 404	$3 404

Exercise 12.2 - Bad debts and financial statement disclosure

Non-GST version

The following transactions relate to Clover Landscaping Services owned by Rob Clover. The balance in the Allowance for Doubtful Debts account on 1 July 2023 was $4 464. The bad debts during the year ended 30 June 2024 amounted to $3 132. Debtors' balances on 30 June 2024 after the bad debts had been written off total $97 775, and a new allowance of 3% of debtors is required. (Ignore GST)

Required:
(a) Prepare and balance the Allowance for Doubtful Debts account for the year to 30 June 2024.
(b) Show how the above information would be disclosed in:
i. the statement of profit or loss for the year ended 30 June 2024.
ii. the statement of financial position as at 30 June 2024.
(LO3)

Suggested Solution:
(a)

Allowance for Doubtful Debts

2024			2023		
30/6	Accounts Receivable	$3 132	1/7	Balance	$4 464
			2021		
	*Balance c/d	4 265	30/6	Bad Debts Expense	2 933
		$7 397			$7 397
			2018		
	* ($97 775 × 2% = $2,933)		30/6	Balance b/d	$4 265

(b)

Clover Landscaping Services Statement of Profit or Loss for the year ended 30 June 2024 (extract)	
EXPENSES	
Bad debts expense	$2 933

Clover Landscaping Services Statement of Financial Position as at 30 June 2024 (extract)	
CURRENT ASSETS	
Accounts receivable	$97 775
Less: Allowance for doubtful debts	$4 265
	$93 510

Lump-sum acquisition

Non-GST version

GreenLeaves Golf Ltd acquired a parcel of land, buildings and ground maintenance equipment on 1 August for a cash price of $3 600 000. Fair values of the assets on the acquisition date were appraised as follows.

Land	**$2 100 000**
Building	**1 200 000**
Equipment	**225 000**
	$3 525 000

The acquisition was not considered to be a business combination.

Required
(a) Calculate the amount of cost that should be assigned to each of the assets and prepare a journal entry to record the acquisition. Ignore GST.
(LO2)

Suggested Solution:
(a)

Asset type	Fair value	Proportion of total value	Allocation of purchase price
Land	$2 100 000	2 100 000/3 525 000	$2 144 681
Building	1 200 000	1 200 000/3 525 000	1 225 532
Equipment	225 000	225 000/3 525 000	229 787
	$3 525 000		$3 600 000

Land	2 144 681	
Building	1 225 532	
Equipment	229 787	
Cash at Bank		3 600 000

Exercise 14.2

Cost and annual depreciation

Non-GST version

On 1 July 2023, Victor Ltd purchased an excavator with a list price of $351 500. Due to their business relationship, the supplier provided a trade discount of 10% and credit terms of 2/10, n/30. Payment was made within the discount period. Freight costs of $8 100 and insurance amounting to $3,000 was paid while the excavator was in transit. The excavator has a useful life of 5 years and a residual value at the end of its useful life of $15 000. Ignore GST.

Required

(a) Determine the amount that should be debited to the plant and equipment account and prepare the general journal entry to record the purchase, assuming a financial year ending 30 June.

(b) Calculate the depreciation expense for each of the 5 years ending 30 June assuming use of:

i. the straight-line depreciation method

ii. the diminishing balance method of depreciation.

(c) Prepare the journal entry to record depreciation expense for the year ending 30 June 2024 using the diminishing balance method of accounting for depreciation.

(LO2 and LO5)

Suggested Solution:(a)

Purchase Price of excavator = $351 500 – trade discount $35 150 =	$316 350
Freight cost	8 100
Insurance	3 000
Total cost of excavator	$327 450

Note payment to supplier within the discount period will not affect the cost price of the excavator, but it will affect the amount of cash paid to the supplier.

Plant and Equipment	327 450	
Accounts Payable		327 450
To record purchase of excavator less trade discount, plus freight and insurance costs.		

(b)

	Year ended 30 June					
Depreciation method	**2024**	**2025**	**2026**	**2027**	**2028**	**Total**
Straight-line[1]	62 490	62 490	62 490	62 490	62 490	312 450
Diminishing balance[2]	150 627	81 339	43 923	23718	12 843	312 450

1. Straight line depreciation =($327 450 – $15 000)/5 years = $62 490 p.a.

2. Diminishing Balance Depreciation rate = 1 - $\sqrt[5]{\frac{\$15\,000}{\$327\,450}} = 1 - 0.5397 = 0.4603\ or\ 46\%$

2024 = $327 450 × 0.46 = $150 627
2025 = ($327 450 – $150 627) = $176 823 x 0.46 = $81 338.58 or $81 339
2026 = ($327 450 – $150 627 – $81 339) = $95 484 x 0.46 = $43 922.83 or $43 923
2027 = ($327 450 – $150 627 – $81 339 – $43 923) = $51 562 x 0.46 = $23 718.33 or $23 718
2028 = ($327 450 – $150 627 – $81 339 – $43 923 - $23 718) = $27 843 – residual $15 000 = $12 843.26 or 12 843

(c)

Depreciation Expense – Equipment	150 627	
Accumulated Depreciation – Equipment		150 627

Record depreciation expense for year ended 30 June 2024.

Exercise 14.4

Depreciation methods

Non-GST version

Minimart Express Ltd purchased a new refrigerated delivery van for its home delivery service. The van cost $100 000. Minimart Express was also required to pay an additional $3500 for stamp duty and registration and a further $20 000 was paid for internal shelving. The delivery van is expected to have a residual value of $25 000 at the end of its useful life of 5 years or 450 000 kilometres. Ignore GST.

Required

(a) Assume the van was purchased on 2 July 2024 and that the accounting period ends on 30 June. Calculate the depreciation expense for the year 2024–25 using each of the following depreciation methods:

i. straight-line
ii. diminishing balance
iii. units of production (assume the van was driven 95 000 kilometres during the financial year).

(b) Assume the van was purchased on 1 November 2024 and that the accounting period ends on 30 June. Calculate the depreciation expense for the year 2024–25 using each of the following depreciation methods:

i. straight-line
ii. diminishing balance
iii. units of production (assume the van was driven 55 000 kilometres during the financial year).

(LO5)

Suggested Solution:

Cost of the delivery van

Purchase price	$100 000
Stamp duty & registration	3 500
Shelving	20 000
Total	123 500

(a)

i. Straight-line: ($123 500 – $25 000)/5 = $19 700 p.a.

ii. Diminishing balance – percentage rate:

$$= 1 - \sqrt[5]{\frac{\$25\,000}{\$123\,500}} = 1 - 0.7265 = 0.2735 \; or \; 27\%$$

= $123 500 x 0.27 = $33 345

iii. Units-of-production:

Expense per kilometre = ($123 500 – $25 000)/450 000 kms = $0.2189 per km

95 000 kms x 0.22 = $20 900

(b) note: delivery van used for 8 months:

i. Straight-line: ($123 500 – $25 000)/5 × 8/12 = $13 133.

ii. Diminishing balance: ($123 500 × 0.27) × 8/12 = $22 230

iii. Units-of-production: $0.22 × 55 000 = $12 100

Exercise 12.3 - Doubtful debts — net credit sales method

Non-GST version

The following transactions relate to the business of Kinky Heels n Boots Ltd. Ignore GST.

June 30	Based on past experience, it was estimated that 2% of the year's net credit sales revenue of $264 000 will not be collected, and an allowance for doubtful debts was established.
Nov 3	After a concerted effort to collect, an account receivable amounting to $2,500 from Tappers Dance Studio was written off as a bad debt.
Dec. 10	Tappers Dance Studio unexpectedly paid the full amount outstanding from the debt previously written off on the 3rd November.

Required:

(a) Record the above transactions in general journal for Kinky Heels n Boots Ltd.

(b) Calculate the balance in the Allowance for Doubtful Debts account and the Bad Debts Recovered account. Explain where these accounts are presented in the financial statements of Kinky Heels n Boots Ltd.

(LO3)

Suggested Solution:

(a)

June 30	Bad Debts Expense	$5 280	
	Allowance for Doubtful Debts		$5 280
	(Estimated bad debts expense)		
Nov 3	Allowance for Doubtful Debts	2 500	
	Accounts Receivable – Tappers Dance Studio		2 500
	(Wrote off amount owing from Tappers Dance Studio as uncollectable)		
Dec 10	Accounts Receivable – Tappers Dance Studio	2 500	
	Bad Debts Recovered		2 500
	(Reinstate debt previously written off for Tappers Dance Studio)		
	Cash at Bank	2 500	
	Accounts Receivable – Tappers Dance Studio		2 500
	(Collected payment in cash)		

(b)

Allowance for Doubtful Debts = Contra current asset presented in the Statement of financial position. Total receivables less allowance for doubtful debts balance $5280 – $2500 = $2780 will present the fair value of accounts receivable.

Bad Debts Recovered $2500 = Income which is presented in the Statement of profit or loss

Exercise 11.10

Petty cash fund transactions

During October, Hair Styles Pty Ltd experiences the following transactions in establishing a petty cash fund.

Oct.	1	A petty cash fund is established by withdrawing $130 from the bank account.	
	31	A count of the petty cash fund disclosed the following items:	
		Currency (notes)	$ 7.80
		Coins	0.50
		Expenditure receipts (vouchers):	
		Office supplies	36.50
		Telephone and fax	21.30
		Postage	53.70
		Freight-out	8.80
		The fund is reimbursed and increased to $260.	

Required

Journalise the entries in October that pertain to the petty cash fund. (LO4)

(a)

Oct. 1	Petty cash	Dr	130	
	Cash at bank	Cr		130
	(To establish the petty cash account)			
Oct 31	Postage expense	Dr	53.70	
	Office supplies	Dr	36.50	
	Miscellaneous expense	Dr	21.30	
	Freight-out	Dr	8.80	
	Cash over and short	Dr	1.40	
	Cash at bank	Cr		121.70
	(To reimburse the petty cash fund)			
Oct 31	Petty cash	Dr	130	
	Cash at bank	Cr		130
	(To increase the petty cash fund)			